

SECTION A – CASE QUESTIONS (Total: 50 marks)

Answer **ALL** of the following questions. Marks will be awarded for logical argumentation/ calculation and appropriate presentation of the answers.

CASE

Natural Beauty Limited ("Natural Beauty") together with its subsidiaries, trading as "Natural Beauty", set up its first self-owned retail store in Hong Kong 20 years ago and listed on the main board of Hong Kong Stock Exchange four years ago.

Natural Beauty's business purpose is to provide their customers with cosmetics and skin products made from natural ingredients. It currently has over 1,000 products. Natural Beauty's headquarters is in Hong Kong and operates over 3,000 self-owned stores in mainland China, Hong Kong and Japan. It also has an integrated laboratory and research and development centre in Japan, two manufacturing plants in mainland China, and warehouses in Guangzhou, Hong Kong and Tokyo.

Natural Beauty's products are very well received by the market in general, especially the products specially designed for the younger generation. The inventory turnover of Natural Beauty's products is high and there are no aged inventories. Natural Beauty usually offers discount sales once or twice a year during the festive seasons. As business has grown significantly in recent years, Natural Beauty engaged a subcontractor in Japan for some manufacturing processes two years ago. Natural Beauty provides the subcontractor with all raw materials. The subcontractor provides subcontracting services to Natural Beauty and some other customers. Historically, 30% of Natural Beauty's production has been manufactured by this subcontractor. Natural Beauty applies standard costing on production, including labour and manufacturing overhead costs.

During the year, Natural Beauty set up another research and development centre in Japan to develop natural skin care products for aged groups and to start capitalising the development costs relating to certain new products to be released. These development costs include material costs, staff cost, depreciation of fixed assets and overhead costs incurred in the research and development centre.

Full stock counts are carried out in manufacturing plants and stores at each year end. The finance team performs sample checks after the full counts are completed by production staff and store managers. Based on the prior year's stock count records, no significant stock count discrepancies were noted and variances were adjusted in the stock ledger after management's investigation. The prior year's audit results did not reveal any control deficiencies relating to stock count, but there were internal control recommendations on control deficiency regarding proper recording of raw materials purchase cost. Reconciliation of raw materials used by and stored with the subcontractor is performed on a monthly basis. Variances, if any, are followed up directly by the general manager of Natural Beauty with the factory manager of the subcontractor. Unexplainable variances in the past were minimal.

Subsequent to 31 December 2020, Natural Beauty decided to acquire an 80% equity interest in the subcontractor, aiming to further expand its production capacity after considering the possible future growth of the business. The transaction was considered as a major acquisition under the Hong Kong Listing Rules. Immediately after the completion of the acquisition, Natural Beauty started integrating the management team as well as aligning the processes & controls and IT systems between the subcontractor and Natural Beauty.

Wong & Co was the reporting accountant of Natural Beauty, assisting the company in completing the initial public offering ("IPO"). Wilson Wong, a senior partner of Wong & Co, was the engagement partner of Natural Beauty's IPO project. Wong & Co has become the auditor of Natural Beauty since then, with Wilson continuing as the engagement partner. Wong & Co has been providing continuous professional support and advice to Natural Beauty over the years, assisting Natural Beauty in strengthening its internal controls as well as operation effectiveness.

Extract of management accounts of the group for the year ended 31 December 2020 are as below:

	<u>2020</u> (Unaudited) HK\$'m	<u>2019</u> (Audited) HK\$'m
Revenue	3,030	2,879
Cost of goods sold	<u>(902)</u>	<u>(834)</u>
Gross profit	<u>2,128</u>	<u>2,045</u>
	70%	71%
Selling, marketing and logistics expenses	(601)	(582)
Administrative and general expenses	(322)	(302)
Research and development expenses	(65)	(262)
Other operating (expenses)/ income, net	(12)	10
Finance expenses, net	<u>(51)</u>	<u>(50)</u>
	<u>(1,051)</u>	<u>(1,186)</u>
Profit before tax	<u>1,077</u>	<u>859</u>
	36%	30%
Property, plant and equipment	6,499	6,503
Intangible assets	310	-
Trade receivables	236	213
Other receivables	94	83
Inventories	1,283	1,240
Cash and bank	876	205
Others	<u>235</u>	<u>30</u>
Total assets	<u>9,533</u>	<u>8,274</u>
Trade and other payables	622	584
Bank borrowings and other liabilities	<u>3,621</u>	<u>3,504</u>
Total liabilities	<u>4,243</u>	<u>4,088</u>
Total equity	<u>5,290</u>	<u>4,186</u>

Question 1 (10 marks – approximately 18 minutes)

With reference to the case background, explain the responsibilities of Natural Beauty's audit committee on corporate governance requirements in the following areas:

Required:

- (a) External auditor appointment. (5 marks)
- (b) Notification to shareholders about the acquisition of the subcontractor. (2 marks)
- (c) Integration between Natural Beauty and the subcontractor after completion of the acquisition. (3 marks)

Question 2 (12 marks – approximately 22 minutes)

- (a) Evaluate the risk of material misstatements relating to the inventory balance in the consolidated financial statements of Natural Beauty in terms of the relevant assertions. (6 marks)
- (b) Propose audit procedures to address the risk of material misstatements in terms of accuracy of the inventory balance in the consolidated financial statements of Natural Beauty. (6 marks)

Question 3 (12 marks – approximately 22 minutes)

- (a) In response to the business development of Natural Beauty, Wong & Co has evaluated the risk of material misstatements relating to the capitalisation of research and development expenses of Natural Beauty in its consolidated financial statements as high.

Identify the impacted relevant financial statement line items with relevant assertions, and advise on whether you agree with Wong & Co's assessment conclusion and explain your rationale. (5 marks)
- (b) Propose audit procedures to address the risk of material misstatements relating to the capitalisation of research and development expenses. (7 marks)

Question 4 (8 marks – approximately 14 minutes)

During the audit planning meeting, the group financial controller of Natural Beauty confirmed that management are not aware of any ongoing litigation. As Natural Beauty has not had any litigation before, the audit manager proposes no audit procedures in this area apart from obtaining the management's signed representation letter.

Required:

- (a) Advise on whether you agree with the audit manager's audit proposal. If you agree, please explain your rationale. If you disagree, propose other relevant audit procedures. (5 marks)
- (b) Propose TWO management processes and controls that should be put in place relating to identification of potential litigation cases and estimation of possible related provisions. (3 marks)

Question 5 (8 marks – approximately 14 minutes)

During the pre-final audit, management explained that they are planning to change their stock count procedures in stores in 2021 to the following:

Stock count in stores will be carried out every week on a rotational basis. The stock count procedures are set up by the finance department. The stock count procedures are clearly explained to each store manager who is responsible for the routine store count. Every store manager is required to attend the stock count briefing session organised by the finance department. The finance team performs sample counts twice a year. Any stock count discrepancy is followed up by store staff or the store manager and reviewed by the general manager.

Management expects that Wong & Co will rely on and test management's control of stock count with the above new processes and controls in place, thus, a stock count at each year end will not be arranged going forward.

Required:

Propose audit procedures in order to assess if management's controls in place can be relied on for the 2021 financial year audit. (8 marks)

* * * * *

End of Section A

SECTION B – ESSAY / SHORT QUESTIONS (Total: 50 marks)

Answer **ALL** of the following questions. Marks will be awarded for logical argumentation/ calculation and appropriate presentation of the answers.

Question 6 (12 marks – approximately 22 minutes)

You are the audit manager responsible for the audit of Lolieo Toys Limited ("Lolieo"). During your review of the working papers on the confirmation section, you note the following being written by your audit team members.

We have circularised a total of 57 accounts receivable confirmations (including second requests) to the entity's accounts receivables. We checked the senders' addresses against the respective sales contracts and delivery addresses. We also independently circularised these confirmations. 23 confirmations replied with agreements (aggregate balances: HK\$3,452,562). For the remaining ones, here below are the results:

- (a) 7 confirmations replied but disagreed with the balances (aggregate balances: HK\$6,254,248). The net aggregate discrepancies amounted to HK\$50,756. As the net amount of discrepancies is not material, no further work is considered necessary.*
- (b) 2 confirmations replied without indicating whether they agreed or disagreed with the balances (aggregate balances: HK\$2,784,521). As the respondents did not disagree with the balances, we consider that these balances are confirmed.*
- (c) 5 confirmations returned and indicated wrong addressees or that no such entities existed (aggregate balances: HK\$1,386,540). We performed alternative procedures. As there were minimal subsequent settlements made by these entities, we checked Lolieo's invoices, and no exception is noted.*
- (d) 1 confirmation (HK\$9,343,459) which was sent to Lolieo's biggest customer did not reply. We performed alternative procedures. As the balance due from this customer comprised more than 1,000 sales transactions, we selected 25 transactions and checked their subsequent settlements.*
- (e) The rest of the confirmations (19) did not reply (aggregate balances: HK\$2,806,666). Each of them comprised individual small balances, and therefore no further work is required.*

Required:

Evaluate the audit work performed by audit team members. If necessary, advise on any further audit work to be performed.

(12 marks)

Question 7 (14 marks – approximately 24 minutes)

You are the audit manager responsible for the audit engagements of Strong Steel Pipes Limited ("Strong") and Wind Mobile Phones Limited ("Wind").

- (a) Strong is engaged in the manufacturing and sale of oil pipes to oil companies. It suffered losses for the last few years because the oil market was sluggish. During the current year, Strong has recorded net current liabilities and negative cash flows. Management has prepared a forecast for the next 12 months and predicts that Strong will have adequate working capital. The management forecast is based on the assumptions that a new loan will be obtained from an existing bank and a new product line will be introduced. As the loan agreement has not yet been signed, the audit team cannot obtain any confirmation from the bank for this new loan facility. Management has prepared the financial statements under a going concern basis and has disclosed these details in the financial statements. The audit team has evaluated the management's future plan and considers it reasonable, and adequate disclosure has been made in the financial statements to support its going concern basis. Therefore, the audit team is considering issuing an unmodified audit opinion.

(7 marks)

- (b) Wind manufactures mobile phones mainly for exporting to its overseas customers. During the current year, the government of its overseas customers suddenly imposed a 300% tariff on goods imported from Wind. Wind has been impacted by this new tariff policy significantly and has suffered a loss margin. This has led to net current liabilities and negative cash flows for Wind at the year-end date. In view of these situations, Wind has raised additional capital from its shareholders after the year-end date. Management considers that the additional capital has immediately remediated the liquidity shortfall. In the long run, Wind will raise its selling price to let its customers share the burden. Management has prepared the financial statements under a going concern basis and has disclosed the subsequent capital injection to support the going concern basis. The audit team has inspected the subsequent capital injection and considers that Wind is able to continue as going concern. Therefore, the audit team is considering issuing an unmodified audit opinion.

(7 marks)

Required:

Prepare a memo to your audit partner for (a) and (b) above to evaluate whether the events and conditions cast significant doubt on the entity's ability to continue as a going concern, and, based on the evidence obtained, conclude whether material uncertainties relating to going concern existed at the reporting date and, if so, how it affects your auditor's report.

Note: No full audit report is required in your answer.

Note: A maximum of 2 marks for communication skill and 2 marks for analytical skill will be awarded.

(14 marks)

Question 8 (12 marks – approximately 22 minutes)

Alex Gao ("Gao") and Felix Fang ("Fang") have recently joined Heng & Co as audit partner and tax partner, respectively. Heng & Co has been approached by Kooi Limited ("Kooi"), a listed company in Hong Kong, to take up the next financial year (2020) audit service. Heng & Co plans to assign Gao and Fang as the audit engagement partner and tax review partner of this new audit engagement. (Note: The tax review partner is responsible for the tax review assisting the audit engagement partner to conclude the tax related matters for the audit engagement).

Wolf & Co is the outgoing auditor of Kooi and has been its auditor since 2005. Both Gao and Fang were partners of Wolf & Co before they joined Heng & Co. They also participated in the audits of Kooi for the financial years from 2013 to 2019 (both years inclusive). Although Gao was not the audit engagement partner of Kooi in previous years, he acted as the engagement quality review partner and provided concurrence on the audit strategies and significant judgement exercised by the audit engagement partner of Kooi. Fang acted as the tax review partner when he was in his old firm.

Required:

- (a) Evaluate if there is any independence threat if Gao acts as the audit engagement partner of Kooi for the 2020 financial year audit.
(6 marks)
- (b) Evaluate if there is any independence threat if Fang acts as the tax review partner of Kooi for the 2020 financial year audit.
(3 marks)
- (c) Evaluate if Heng & Co can accept the 2020 financial year audit engagement of Kooi and propose safeguards if necessary.
(3 marks)

Question 9 (12 marks – approximately 22 minutes)

Easy Finance Limited ("Easy") is a finance company in Hong Kong which has introduced a mobile platform for its customers to obtain unsecured personal loans online. Easy maintains a self-developed computerised system for processing these loan transactions. Easy also offers three different types of repayment methods for its customers. Different repayment methods result in different interest yields and recognition policies for interest income.

You are the new Chief Finance Officer of Easy.

Required:

- (a) You note that Easy has designated both IT and finance team members as system "privilege" users. Privilege users can change the program and data freely. You consider that this will cause a significant risk toward system change and data alternation.

In view of the above, propose measures and establish any general controls to mitigate this risk.

(4 marks)

- (b) You are looking into Easy's interest income calculation and have found that the interest is calculated manually by your finance team. You have also identified errors in their manual calculation. You have instructed the IT team to write a computerised program for interest income calculation.

With the new interest income calculation process, design controls to ensure accurate interest income calculated by the system.

(4 marks)

- (c) You observe that Easy has an abnormally high bad debt rate when compared to its competitors because no credit controls have been implemented.

Propose controls within the system and other measures which could assist the management in assessing and monitoring credit risk.

(4 marks)

* * * END OF EXAMINATION PAPER * * *